COVER STORY

WHERE TO PUT YOUR MONEY

The stock markets are racing and many experts point to a bull run that will continue for a long time. Learn to navigate this phase to stay on top of your investments

By Narayan Krishnamurthy

The leading stock market indices, the S&P BSE Sensex and the Nifty 50, are frequently scaling new highs. Naturally, at this time, the most frequently asked question is: is this the right time to invest, especially when the market is on a high? Over the past 44 years for which the Sensex data is easily available, it is quite evident that there is money to be made for investors who stay the course. For investors who invested in 1979 when the index was at 100, today the worth of that money is well over 65,000 times. For an optimist, there is no way you can lose money in the stock markets as long as you stay invested indefinitely.

A bull market is defined as a period of time when major stock market indexes are generally rising, eventually reaching new highs. But there are many other definitions of a bull market and experts keep changing their definition of a bull run based on evolving market conditions. So, there is a school of thought which describes a bull run when the market indices gain 20 per cent from the lows. Some describe it as a phase when all segments (sectors and market capitalisation) of the stock markets gain. All these definitions may never be clear right now, because, effectively, a bull run is best described based on data after it has run its course.

At a very basic level, investing is a way to grow your money based on your risk tolerance and time horizon. If you closely listen to experts who have skin in the game, most of them are perennial optimists and are mostly of the view that you could benefit from investing in stocks, bonds or commodities. Their specialisation in tracking different asset classes allows them to have such views with specific caveats, which is fine as long as you make it a point to know them and accordingly figure which asset class or investment will work for you.

IT'S VERY IMPORTANT THAT YOU BUY A STOCK CHEAP IN ORDER TO MAKE RETURNS OVER THE SUBSEQUENT FIVE OR 10 YEARS

Unfortunately, investors think of stock markets as a binary—bull or bear phase. They think markets will either go down or up, whereas in reality, they constantly go up and down, and over time go up eventually with phases when it is down. Think of the stock market index like your heart beat, it keeps going up and down depending on your physical activity levels. Depending on what data you analyse, the past three years have been a phase when the markets have been on the upswing. For instance, so far this year, the leading market indicator, the S&P

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